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March 3, 2026

COMMITTEE SUBSTITUTE
FOR

SENATE BILL NO. 366

By: Hines, Daniels, Jett,
Deevers, and Stewart of the
Senate

and

Hall and Caldwell (Chad) of
the House

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[ boards of education - notice - transactions -  
lottery selection - construction - effective date -  
emergency ]
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BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 70 O.S. 2021, Section 5-117, is amended to read as follows:

Section 5-117. A. The board of education of each school district shall have power to:

1. Elect its own officers; provided that the chair of the board authorized in Section 5-107B of this title shall be elected by the electors of the school district;

2. Make rules, not inconsistent with the law or rules of the State Board of Education, governing the board and the school system of the district, including converting all or part of a traditional public school to a conversion school;

1 3. Maintain and operate a complete public school system of such
2 character as the board of education shall deem best suited to the
3 needs of the school district;

4 4. Designate the schools to be attended by the children of the
5 district;

6 5. Provide and operate, when deemed advisable, cafeterias or
7 other eating accommodations, thrift banks or other facilities for
8 the teaching and practice of thrift and economy, bookstores, print
9 shops, and vocational and other shops;

10 6. Provide informational material concerning school bond
11 elections and millage elections, including, but not limited to, all
12 pertinent financial information relative to the bond issue, a
13 statement of revenue sources necessary to retire proposed bonds, a
14 statement of current bonded indebtedness of the school district, and
15 a statement of proposed use of funds to be generated by the proposed
16 bond issue. The informational material shall not contain the words
17 "vote yes" or "vote no" or any similar words or statement any place
18 on such informational material;

19 7. Purchase, construct, or rent, and operate and maintain,
20 classrooms, libraries, auditoriums, gymnasiums, stadiums, recreation
21 places and playgrounds, teacherages, school bus garages,
22 laboratories, administration buildings, and other schoolhouses and
23 school buildings, and acquire sites and equipment for the operation
24 of public schools or conversion schools;

1 8. a. Insure the school district or its employees against
2 any loss, damage, or liability as defined by Sections
3 702 through 708 of Title 36 of the Oklahoma Statutes,
4 or other forms of insurance provided for in Title 36
5 of the Oklahoma Statutes.

6 b. Subject to the restrictions of liability in the
7 Governmental Tort Claims Act:

8 (1) insure the school district against all or any
9 part of any liability it may incur for death,
10 injury, or disability of any person, or for
11 damage to property, either real or personal,

12 (2) insure any employee of the school district
13 against all or any part of the employee's
14 liability for injury or damage resulting from an
15 act or omission in the scope of employment, or

16 (3) insure against the expense of defending a claim
17 against the school district or its employee,
18 whether or not liability exists on such claim.

19 c. As used in this subsection, "employee" means any
20 person who has acted in behalf of a school district,
21 whether that person is acting on a permanent or
22 temporary basis with or without being compensated or
23 on a full-time or part-time basis. Employee also
24 includes all elected or appointed officers, members of

governing bodies of a school district, and persons appointed, and other persons designated by a school district to act in its behalf.

d. The cost or premium of any such insurance is a proper expenditure of the school district.

e. Any insurance authorized by law to be purchased, obtained, or provided by a school district may be provided by:

(1) self-insurance, which may be, but is not required to be, funded by appropriations to establish or maintain reserves for self-insurance purposes.

Any self-insurance reserve fund shall be nonfiscal and shall not be considered in computing any levy when the school district makes its annual estimate for needed appropriations,

(2) insurance in any insurer authorized to transact insurance in this state,

(3) insurance secured in accordance with any other method provided by law, or

(4) any combination of insurance authorized by this section.

f. Two or more school districts or public agencies, by interlocal agreement made pursuant to the Interlocal Cooperation Act, may provide insurance for any purpose

1 by any one or more of the methods specified in this
2 section. The pooling of self-insured reserves,
3 claims, or losses among governments as authorized in
4 this section shall not be construed to be transacting
5 insurance nor otherwise subject to the provisions of
6 the laws of this state regulating insurance or
7 insurance companies, except as to the provisions of
8 Section 607.1 of Title 36 of the Oklahoma Statutes.
9 Two or more school districts may also be insured under
10 a master policy or contract of insurance. Premium
11 costs may be set individually for each school district
12 or apportioned among participating school districts as
13 provided by the master policy or contract;

14 9. Acquire property by condemnation proceedings in the same
15 manner as land is condemned for railroad purposes. School district
16 funds may be used to erect buildings on leased land on which other
17 buildings have been erected prior to April 3, 1969, or on land which
18 is leased from a governmental entity;

19 10. Lease real or personal property to the state or any
20 political subdivision thereof or a not-for-profit entity operating
21 pursuant to Section 868 of Title 18 of the Oklahoma Statutes for
22 nominal cash consideration for so long as the use of the property by
23 the lessee substantially benefits, in whole or in part, the same
24 public served by the school district;

1 11. a. Dispose of personal or real property no longer needed
2 by the district by sale, exchange, lease, lease-
3 purchase, sale and partial lease back, or otherwise.
4 Real property shall be conveyed pursuant to a public
5 sale, public bid, or private sale; provided however,
6 unless otherwise prohibited by law, the board of
7 education of a consolidated or annexed school district
8 or any other school district may convey real property
9 to a local political subdivision or to an educational
10 institution within The Oklahoma State System of Higher
11 Education or to a housing authority formed pursuant to
12 the provisions of Section 1057 of Title 63 of the
13 Oklahoma Statutes without consideration. Prior to the
14 sale of any real property, the board of education
15 shall have the real property appraised. The appraisal
16 shall be confidential until the real property is sold.
17 When the real property is sold, the board of education
18 shall make the appraisal available for public
19 inspection. Prior to the conveyance of any real
20 property by private sale, the board of education shall
21 have offered the real property for sale by public sale
22 or public bid. Any conveyance of real property by
23 private sale to a nonprofit organization, association,
24 or corporation to be used for public purposes, unless

1 for exchange, shall contain a reversionary clause
2 which returns the real property to the board of
3 education upon the cessation of the use without profit
4 or for public purposes by the purchaser or the assigns
5 of the purchaser,

6 b. If a board of education makes the decision to dispose
7 of real or personal property that is leased at the
8 time the decision is made, whether such disposal is by
9 public sale, public bid, or private sale, the lessee
10 shall have a right of first refusal to purchase the
11 property on the following terms and conditions:

12 (1) if a board of education receives a bid or offer
13 in a public sale, public bid, or private sale for
14 any real or personal property that it desires to
15 accept, then it shall provide notice to the
16 lessee of the property. The notice shall include
17 the identity of the prospective purchaser of the
18 property, the terms and conditions of the
19 proposed sale, and the purchase price to be paid
20 by the prospective purchaser, and

21 (2) the lessee shall have thirty (30) days after
22 receipt of the notice to inform the board of
23 education that it elects to purchase the property
24 on the same terms and conditions set forth in the

1 notice, in which event the board of education
2 shall convey the property to the lessee on all
3 the same terms and conditions set forth in the
4 notice; provided, however, that if any portion of
5 the consideration included in the purchase price
6 set forth in the notice is not in cash, then the
7 lessee shall be entitled to pay the fair market
8 value in cash of such noncash consideration, and

9 (3) if the lessee does not timely elect to purchase
10 the property pursuant to division (2) of this
11 subparagraph, the board of education shall
12 provide the notice described in division (1) of
13 this subparagraph to eligible charter schools.

14 For the purposes of this section, "eligible
15 charter school" means a public charter school
16 authorized pursuant to the Oklahoma Charter
17 Schools Act and is located within the geographic
18 boundaries of the school district,

19 c. (1) If a board of education proposes to sell, lease,
20 or otherwise transfer a district facility or any
21 underutilized portion of a district facility to
22 any person or entity, the board of education
23 shall provide written notice of the proposed
24 transaction to each eligible charter school. For

1 the purposes of this section, "district facility"
2 means any school building or portion of a school
3 building with or without improvements that is
4 owned, leased, or otherwise controlled by the
5 school district and that is used for classroom
6 instruction or was used for classroom instruction
7 within the previous twenty (20) years. For the
8 purposes of this section, a district facility
9 shall be considered underutilized if the facility
10 or a portion thereof was not used for
11 instructional or program purposes for a majority
12 of the instructional days during the immediately
13 preceding school year including space suitable
14 for classroom use that is used for storage or if
15 the facility or a portion thereof was used at
16 less than sixty percent (60%) of student capacity
17 for instructional or program purposes during the
18 immediately preceding school year,
19 (2) if the board of education decides to accept a
20 bid, offer, or proposal to sell, lease, or
21 otherwise transfer a district facility or any
22 underutilized portion thereof, the notice
23 required by division (1) of this subparagraph
24 shall include the identity of the prospective

purchaser or lessee, the material terms and
conditions of the proposed transaction, and the
proposed purchase or lease rate,

(3) an eligible charter school shall have thirty (30)
days after receipt of the notice to notify the
board of education that it elects to purchase or
lease the district facility or an underutilized
portion thereof on the same terms and conditions.

Upon timely election, the board of education
shall convey or lease the property to the
eligible charter school on those terms and
conditions,

(4) if more than one eligible charter school timely
elects to purchase or lease a district facility
or an underutilized portion thereof, the board of
education shall conduct a random lottery
selection among the eligible charter schools,

(5) a board of education shall not establish
covenants, policies, or other agreements that
prevent or restrict the sale or lease of district
facilities or unused portions thereof to eligible
charter schools, and

(6) the provisions of this subparagraph shall not be
construed to limit the right of first refusal

1 granted to a lessee pursuant to subparagraph b of
2 this paragraph;

3 12. Purchase necessary property, equipment, furniture and
4 supplies necessary to maintain and operate an adequate school
5 system;

6 13. Incur all expenses, within the limitations provided for by
7 law, necessary to perform all powers granted by the provisions of
8 this section;

9 14. Contract with and fix the duties and compensation of
10 physicians, dentists, optometrists, nurses, attorneys,
11 superintendents, principals, teachers, bus drivers, janitors and
12 other necessary employees of the district;

13 15. Establish a written policy for reimbursement of necessary
14 travel expenses of employees and members of the board. The policy
15 may include in-district travel from the site of employment
16 assignment which is necessary in the performance of employment
17 duties. The written policy shall specify procedures, contain
18 documentation requirements, and may include payment of meal expenses
19 during authorized travel on a per diem allowance basis rather than
20 itemized documentation;

21 16. Pay necessary travel expenses and other related expenses of
22 prospective employees for sponsored visits to the school district
23 pursuant to a written policy specifying procedures containing
24 documentation requirements equal to or greater than the requirements

1 specified by law for state employees in the State Travel
2 Reimbursement Act;

3 17. Provide for employees' leaves of absence without pay;

4 18. Exercise sole control over all the schools and property of
5 the district, subject to other provisions of the Oklahoma School
6 Code;

7 19. Allow district-owned school buses to be used for
8 transportation of students from other districts or educational
9 institutions while within the district on educational tours. This
10 shall not restrict the authority of the board to authorize any other
11 use of such buses which may now be permitted by law or rule of the
12 State Board of Education;

13 20. Enter into contractual agreements with the board of
14 trustees of a multicounty library system, as defined in Section 4-
15 103 of Title 65 of the Oklahoma Statutes, a city-county library
16 commission, as defined in Section 152 of Title 65 of the Oklahoma
17 Statutes, or a rural single county library system, as defined in
18 Section 1-104 of Title 65 of the Oklahoma Statutes, on such terms as
19 may be mutually agreed, except no district board of education may
20 enter into any agreement under which the library services for the
21 school would be provided at any site other than the school site or
22 which would result in library services that do not meet
23 accreditation standards as required by law or rule;

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1 21. Perform all functions necessary to the administration of a
2 school district in Oklahoma as specified in the Oklahoma School
3 Code, and in addition thereto, those powers necessarily implied but
4 not delegated by law to any other agency or official;

5 22. Prepare and distribute at the expense of the school
6 district any and all material which has the purpose of informing the
7 public about district activities;

8 23. Solicit and accept any gift, grant, or donation of money or
9 property for the use of the school district. Any gift, grant, or
10 donation of money may be deposited in the general fund or building
11 fund of the school district; and

12 24. Pay necessary meal and lodging expenses of school district
13 students and sponsors involved in authorized school-sponsored
14 cocurricular activities. The board of education shall establish a
15 written policy for reimbursement of necessary meal and lodging
16 expenses of school district students and sponsors. The written
17 policy shall specify procedures, contain documentation requirements,
18 and designate the funds from which reimbursement may be made.
19 Reimbursement may be made from the General Fund.

20 B. The board of education of any school district may rent real
21 and personal property, if such items are necessary for the operation
22 of the school, and pay the rental charges for the usage during any
23 fiscal year, or portion thereof, out of appropriations made and
24 approved for current expense purposes during the fiscal year. Any

1 rental contract extending beyond June 30 of the fiscal year shall be
2 void unless it contains provisions for mutual ratification of
3 renewal pursuant to the conditions provided for in this subsection.
4 It is the intent of this subsection to authorize boards of education
5 to enter into lease contracts but not to incur any obligation
6 against the school district in excess of the income and revenue
7 provided for such purposes for the fiscal year in which the lease
8 contract is operative. Any lease or lease-purchase agreement
9 entered into by any board of education shall state the purchase
10 price of real or personal property so leased. The lease or lease-
11 purchase shall not be extended so as to cause payment of more than
12 the original purchase price of the real or personal property, plus
13 interest not to exceed the legal rate. When the purchase price plus
14 interest has been paid, the property shall belong to the lessee and
15 the lessor shall deliver a deed or bill of sale to the property to
16 the lessee. When any real or personal property has been leased or
17 rented during any fiscal year pursuant to the provisions of any
18 contract which permits continuance of the rental for the remainder
19 of the fiscal year, the renting or leasing of the property shall be
20 continued for the remainder of the fiscal year unless the board of
21 education renting or leasing the same certifies by proper resolution
22 entered in the minutes of the board of education that the
23 continuance of the rental is unnecessary and contrary to the public
24 interest. Any lease-purchase agreement entered into shall include

1 the right of a school district to acquire buildings, equipment or
2 other facilities or discrete components thereof or improve school
3 sites through a lease-purchase agreement. A school district may use
4 proceeds derived from the sale of bonds as authorized by Section 26
5 of Article X of the Oklahoma Constitution to make lease-purchase
6 payments, including interest, under a lease-purchase agreement. For
7 purposes of this subsection, the term "acquired" as used in Section
8 26 of Article X of the Oklahoma Constitution shall mean the
9 possession, control, or power to dispose of personal or real
10 property.

11 C. The boards of education of two or more school districts may
12 enter into cooperative agreements and maintain joint programs
13 including, but not limited to, courses of instruction for
14 handicapped children, courses of instruction in music and other
15 subjects, practical instruction for trades and vocations, practical
16 instruction in driver training courses, and health programs
17 including visual care by persons legally licensed for such purpose,
18 without favoritism as to either profession. The revenues necessary
19 to operate a joint program approved in cooperative agreements,
20 whether from federal, state or local sources, including the
21 individual contributions of participating school districts, shall be
22 deposited into a fund separate from all other appropriated funds.
23 The beginning fund balance each year, combined with all actual
24 revenues, including collected and estimated revenues, must be

1 appropriated before being expended. Purchase orders shall be issued
2 against available appropriations and, once goods or services have
3 been received, either payable or nonpayable warrants shall be issued
4 in payment of all purchase orders. The fund shall be reported as a
5 separate appropriated fund in all the financial reports of the
6 school district which is chosen by the other school districts to
7 keep the accounting records of the joint program.

8 D. The boards of education of two or more school districts may
9 enter into a mutual contract or separate contracts with a
10 superintendent, administrator, or teacher or with a person to
11 provide support services, to serve as superintendent, administrator,
12 or teacher, as appropriately qualified, or to provide support
13 services, for each contracting district upon such terms and
14 conditions as the parties may agree. Nothing in this section shall
15 be construed to authorize or require annexation or consolidation of
16 any school districts or the closing of any school site except
17 pursuant to law as set forth in Section 7-101 et seq. of this title.

18 E. Any school district may operate or maintain a school or
19 schools on any military reservation which is within the boundaries
20 of the school district or which is adjacent to the school district,
21 and provide the instruction in the school or schools to children of
22 personnel on the military reservation and, in doing so, shall
23 conform to all federal laws and requirements.

1 F. The board of education of each school district shall adopt
2 and maintain on file in the office of the superintendent of schools
3 appropriate personnel policy and sick leave guide. The guide shall
4 be made available to the public.

5 G. The board of education of any school district with an
6 average daily membership of thirty thousand (30,000) or more and all
7 or part of which school district is located in a county having more
8 than five hundred thousand (500,000) population according to the
9 latest Federal Decennial Census may contract with a public or
10 private nonsectarian entity for that entity to provide educational
11 and administrative services for the school district. The
12 educational services provided by a contracting entity may include
13 but are not limited to the delivery of instructional service in core
14 and noncore academic subjects to the students enrolled in the school
15 district at one or more school sites or parts of sites within the
16 district pursuant to the terms of an educational services contract.
17 All educational service providers and their employees and
18 representatives and all educational and administrative services
19 provided under an educational services contract shall be exempt from
20 all statutes and rules relating to schools, boards of education and
21 school districts to the same extent that a charter school is exempt
22 under the Oklahoma Charter Schools Act. For all purposes including
23 but not limited to attendance, funding from all sources and
24 accountability, all students who are provided services by a

1 contracting entity pursuant to an educational services contract
2 shall at all times be and remain students of the school district.

3 SECTION 2. This act shall become effective July 1, 2026.

4 SECTION 3. It being immediately necessary for the preservation
5 of the public peace, health, or safety, an emergency is hereby
6 declared to exist, by reason whereof this act shall take effect and
7 be in full force from and after its passage and approval.

8 COMMITTEE REPORT BY: COMMITTEE ON EDUCATION
9 March 3, 2026 - DO PASS AS AMENDED BY CS
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